Quartz

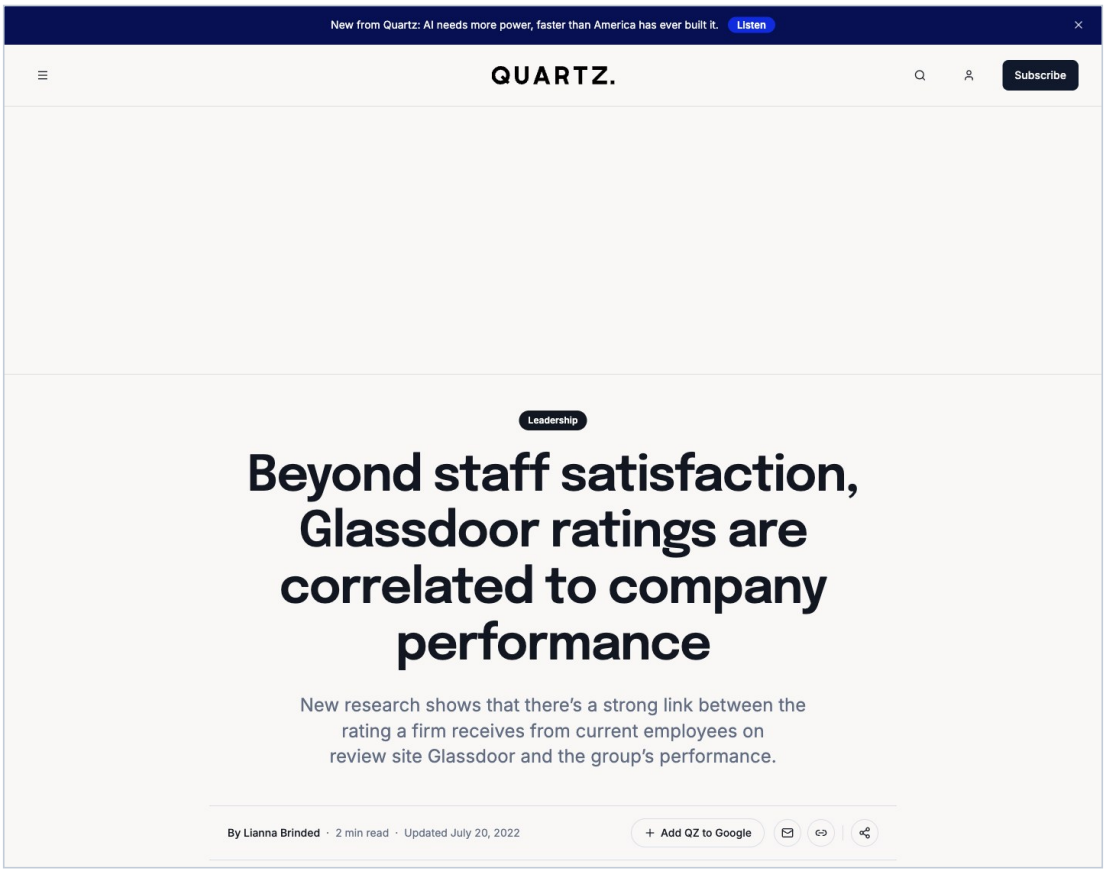
«Beyond staff satisfaction, Glassdoor ratings are correlated to company performance»

29 March 2018 · English · By Lianna Brinded. Not named; reports the study.

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https://qz.com/work/1240470/glassdoor-ratings-the-impact-staff-reviews-has-on-company-performance

Research. Symitsi, E., Stamolampros, P., Daskalakis, G. and Korfiatis, N. (2018). Employee Satisfaction and Corporate Performance in the UK. Study commissioned by Glassdoor, presented at Glassdoor's Best Places to Work, London, 29 March 2018.



New research shows that there's a strong link between the rating a firm receives from current employees on review site Glassdoor and the group's performance.

The study *"Employee Satisfaction and Corporate Performance in the UK"* was conducted by Norwich Business School in East Anglia, UK and was commissioned by Glassdoor—one of the world's largest recruitment sites. Researchers analyzed 35,231 employee ratings from 164 large companies using UK data on Glassdoor between 2014-2017. They only included firms with a minimum of 100 reviews within this time period. For the financial data, they used information from the Bureau van Dijk's FAME and for the daily stock price and market index (FTSE 100) from Thomson Reuters Datastream.

The results showed that companies which garnered a higher score by their current employees in terms of satisfaction achieved "superior profitability compared to those rated lower." In fact, the return of a stock portfolio for the top 25% rated companies in the UK Glassdoor sample showed that over a four-year period, the group of companies earned significantly higher returns than expected, according to standard asset pricing models.